

# SEZL pitch deck

## PITCH — SEZL — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

**PROPOSED — PENDING ADJUDICATION: NO ENTRY.** Both benches reject the starter position at \$118.02. Sezzle is a good business that just repriced correctly, not a bargain — and it carries an unresolved governance problem (an audit-committee director quit effective immediately in April, followed by a law-firm fraud investigation) that makes the downside impossible to bound at any reasonable size. Reopen only on the specific evidence gates below.

### What we believe

---

Sezzle is a buy-now-pay-later company that has converted its free users into paying subscribers with remarkable success: revenue grew 51.7% year-over-year last quarter (\$149.7M vs \$98.7M), EBITDA margins are 38.8%, the company generated \$141M of operating cash flow in the first half, and management has raised guidance four quarters in a row. The stock fell roughly 34% after the August 6 earnings report and now sits 40% below its 52-week high.

The original thesis was that this drop was an overreaction to a mechanical slowdown in the growth rate — that the market punished a comparison problem (this year's quarters lapping unusually strong ones) rather than a real deterioration.

After the adversarial review, we no longer believe the drop was an overreaction. The math both benches agreed on: 87% of the monetizable user base (854k subscribers out of 982k monthly active users) has already converted to the paid tier, so the engine that produced 50%+ growth is mostly used up. Management's own full-year guidance (~\$608M, up ~35%) implies second-half growth of about 31%, down from 51.7% — a deceleration management itself is forecasting. The market read that correctly and repriced the stock from a hyper-growth multiple to roughly 22.5x forward earnings. That is a fair price, not a dislocated one.

Where we part from the harshest version of the bear case: growth is not collapsing to the mid-teens. Purchase frequency is still rising (7.2 transactions per user vs 6.1 a year ago, a company record) and total payment volume grew 37.9% — there are growth channels beyond converting free users. A 20–30% durable grower at these margins is arguably cheap at 22.5x. But “arguably cheap” is not enough when the risk below cannot be bounded.

### What the market believes

---

The market believes the growth story just broke, and a large, informed group believes something worse. Short sellers hold 25.6% of the float (about 4.0M shares, per Fintel/MarketBeat — though that figure fell 4.2% in the latest period, so bears are trimming, not pressing). The bear case has institutional history: a

Hindenburg short report in December 2024, a live securities class action, a Pomerantz fraud investigation opened in April 2026, and a November 2025 letter from the Senate Banking Committee questioning exactly the subscription-fee model that drives all the revenue growth ([the letter itself](#)).

One consequence: the 52-week high of \$195.71 was probably set partly by short squeezes, so “40% off the high” overstates how cheap the stock is relative to any level informed buyers ever endorsed. (Both benches flag this as plausible but unverified — our live-quote check was unavailable this session.)

## Why we might have edge

---

- **We did the deceleration math ourselves from primary filings**, rather than taking either the company’s framing or the bears’. The reconstruction (guidance implies ~31% second-half growth, not a cliff and not 50%) is confirmed against the [Q2 2026 release](#) and the [full-year 2025 release](#).
- **We caught the bear case overstating its strongest point.** The prosecution’s “growth converges to 14%” claim ignored rising purchase frequency and used a stale user-growth figure. If Q3 shows growth genuinely running above conversion — faster user growth, frequency still climbing, revenue yield holding — the stock is cheap at today’s price and most of the market is anchored to the broken-story narrative.
- **We know precisely which disclosures would prove it:** subscriber churn/renewal (currently undisclosed and the single most load-bearing unknown), a quantified revenue figure for the new SezzleCash/Send products (currently transcript-talk only), and loan-loss provisions coming in at or below 2.5% of volume.
- **The Shopify lawsuit is misunderstood.** Bears cite it as proof Sezzle is locked out of the biggest small-merchant platform. True — but Sezzle’s antitrust suit survived Shopify’s motion to dismiss in May 2026, so it is also a removable ceiling with settlement/recovery upside. Two-sided, not a clean negative.

## Why it might be priced in

---

- The repricing already happened, and it matched the math. A 22.5x forward multiple for a business decelerating to ~31% and possibly lower is fair. Nobody in our own court — including the original thesis author — produced an argument that the market’s read is *wrong*, only that the risk might be acceptably paid. That is a weaker claim, and it fails on the next point.
- The tails aren’t bounded. An audit-committee director resigned effective immediately on April 9, 2026 (8-K; the stock fell 13.6% the next day), which is what triggered the Pomerantz investigation. Until that resignation is explained or the investigation closes, “fairly paid” cannot be certified — a fraud outcome isn’t a valuation input, it’s a different distribution.
- A quarter of the float is held short by people who have been directionally right about the mechanism since 2024. They may be wrong from here — short interest is now declining — but this is a contested battleground, not a neglected name.

- Management’s own provision guidance (building toward 2.5–3.0% of volume; the implied second-half rate of 3.0–3.9% exceeds any recent actual) says credit costs rise from here. The original thesis tried to count that guidance as both a safety cushion and hidden upside; it can only be one.

## What we checked ourselves

| Claim                                                                                   | How checked                                                                                       | Found                                                                                                                                                                                           | Confirmed?                             |
|-----------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------|
| Q2 grew 51.7% off a depressed base; guidance implies ~31% H2 growth                     | Rebuilt from XBRL quarterly revenue + FY25 and Q2’26 press releases                               | $\$450.3\text{M} \times 1.35 - \$285.2\text{M H1} = \$322.7\text{M H2}$ vs $\$246.7\text{M prior} \rightarrow +30.8\%$                                                                          | <b>YES</b>                             |
| Growth collapses to mid-teens (red bench’s “fatal” finding)                             | Blue bench re-derived using all revenue drivers                                                   | <b>Red bench erred:</b> it dropped the purchase-frequency channel (7.2x vs 6.1x, +18%) and used a Q1 user-growth figure for Q2. Deceleration direction stands; the mid-teens magnitude does not | <b>NO — overturned as to magnitude</b> |
| Short interest 25.6% of float                                                           | Fintel, MarketBeat                                                                                | Confirmed — <b>but red bench missed that it fell 4.2% in the latest period</b> (bears trimming)                                                                                                 | <b>YES, with correction</b>            |
| Regulatory attack on the subscription-fee line                                          | Read the Senate Banking letter; pulled the Sliwa consumer complaint                               | Senate letter real (Nov 2025). <b>Red bench erred:</b> it padded the case with the Sliwa suit, which is 2022-vintage (docket 2:22-cv-03055), not fresh evidence                                 | <b>PARTIAL</b>                         |
| Provision guidance double-counted as both floor and upside                              | FY25 + Q2’26 releases: Q4’25 actual 2.0%, FY25 2.3%, Q2’26 2.4% vs implied H2 3.0–3.9%            | The original thesis’s logic error is real; also the company calls 2.4% “seasonal,” cutting against the thesis’s credit-cycle framing                                                            | <b>YES</b>                             |
| SezzleCash/Send revenue is negligible today                                             | Searched company documents for any quantification                                                 | None exists — “very little/zero” is earnings-call talk only                                                                                                                                     | <b>NO — unverified</b>                 |
| Audit-committee director resignation triggered the fraud probe                          | 8-K dated 2026-04-09; next-day –13.6% move; Pomerantz announcement                                | <b>Red bench missed this entirely; blue bench found it.</b> Strongest single bear fact in the record                                                                                            | <b>YES</b>                             |
| Shopify suit = permanent growth ceiling                                                 | Company update + trade press                                                                      | Survived motion to dismiss May 2026; two-sided, not a clean negative. <b>Red bench presented only the bear half</b>                                                                             | <b>YES, reframed</b>                   |
| Insider selling before the print (three Form 144s, six Form 4s at \$150–190, June–July) | Filing inventory only; underlying documents returned errors and were never opened                 | Cadence is real; contents unread. Cannot bear weight                                                                                                                                            | <b>NO — plausible only</b>             |
| Live price \$118.02; no position held                                                   | Broker quote and position checks were both permission-denied this session for <b>both</b> benches | All tape facts rest on the evidence pack snapshot                                                                                                                                               | <b>PACK ONLY</b>                       |
| Next earnings 2026-11-04                                                                | Data-vendor derived; no company press release                                                     | Date is a placeholder until confirmed                                                                                                                                                           | <b>NO — unconfirmed</b>                |

| Claim | How checked | Found | Confirmed? |
|-------|-------------|-------|------------|
|       | names it    |       |            |

## PROPOSED ENTRY BANDS

**The courts say no entry now.** No buy, no starter, at \$118.02. Reopen bands instead:

**Reopen path A — evidence clears, price roughly here (~\$110–125).** At the next earnings report (~Nov 4), a starter becomes defensible near the current price *only if* the print shows: (1) user growth accelerating above ~20% or purchase frequency still climbing with revenue yield holding  $\geq 11.5\%$ , proving growth beyond the used-up conversion engine; (2) provisions at or below 2.5% of volume; and (3) either a churn/renewal disclosure showing the 854k subscriber base is sticky, or SezzleCash/Send revenue actually quantified in a company document. This is the blue bench's own math: at 20–30% durable growth and 38.8% margins, 22.5x forward is fair-to-cheap.

**Reopen path B — no new evidence, price capitulates below ~\$79.** Both benches' figures imply roughly \$5.25 of forward earnings per share ( $\$118.02 \div 22.5x$ ). At ~15x — about \$79 — even the bear bench's worst case (mid-teens terminal growth) is fully paid for. Below that level, reopen the file for a fresh court pass; do not buy mechanically, because a break to there likely means the fraud/governance tail is realizing.

**Hard precondition for either path:** the Karen Webster audit-committee resignation is explained in a filing, or the Pomerantz investigation closes without a complaint. No position at any price while that is open.

**Sizing:** none proposed — the courts rejected the position, and neither bench sized a reopen. Any reopened starter requires re-adjudication and should be small until the governance tail is bounded.

**Catalyst dates:** ~2026-11-04 Q3 earnings (unconfirmed — vendor-derived, no company PR names it). No dates exist for the Pomerantz investigation or the Shopify case; both are event-driven.

**Exits/trim:** not applicable — no position, none proposed.

## ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 79.0 (deck-provisional: ~15x the benches' implied ~\$5.25 FY26 EPS — bear-case (mid-teens growth) fully paid; reopen file, do n)
- filing watch: 8-K until 2027-02-05 (deck-provisional: governance items (Webster resignation explanation, auditor/director changes), Pomerantz complaint, Sho)
- dated pack SEZL|2026-11-04: SEZL: Q3'26 earnings — actives/frequency acceleration, provisions  $\leq 2.5\%$  of GMV, churn disclosure are the reopen gates (date confirmed=False)

## What remains unverified

---

- **Subscriber churn/renewal** — undisclosed by the company; the single most load-bearing unknown. If the 854k base churns, the whole revenue base is at risk, not just its growth rate.
- **SezzleCash/Send revenue contribution** — no company document quantifies it; the bull “second act” is currently talk.
- **The contents of the insider filings** — SEC document fetches failed (403 errors) in both benches; we know the filing cadence, not what was actually sold or why.
- **Why the 52-week high matters** — squeeze contamination of the \$195.71 print is plausible but was never verified against live quote history (broker access denied this session).
- **The size of the regulatory tail** — the Senate letter and class action exist (confirmed); no tool we ran can size what a subscription-fee restriction would cost. It sits directly on the revenue line.
- **The Q3 earnings date** — vendor-derived, unconfirmed.
- **The reason for the audit-committee resignation** — the fact is confirmed; the explanation does not exist in any filing we could read. This is the item that blocks entry at any price.

```
{"price_gates": [{"level": 79.0, "direction": "below", "basis": "~15x the benches' implied ~$5.25 FY26 EPS – bear-case (mid-teens growth) fully paid; reopen file, do not auto-buy"}], "event_gates": [{"forms": ["8-K"], "why": "governance items (Webster resignation explanation, auditor/director changes), Pomerantz complaint, Shopify case rulings, Q3 print"}, {"forms": ["10-Q"], "why": "first churn/renewal disclosure and SezzleCash/Send quantification – the two load-bearing unknowns"}, {"forms": ["4", "144"], "why": "June–July insider selling cluster at $150–190 pre-print was never resolved; watch for continuation"}], "catalyst_dates": [{"date": "2026-11-04", "what": "Q3'26 earnings – actives/frequency acceleration, provisions <=2.5% of GMV, churn disclosure are the reopen gates", "confirmed": false}], "immediate_entry": null}
```